

Demand instance. You can buy a reserved capacity starting from one year to three years and you can choose between standard and convertible class of reserved instances.

If you buy standard reserved instances you can modify some of the attributes like instance size but you can't modify instance type. But if you buy convertible instance type you can change the instance type, family and tenancy during the term. You can choose between standard and convertible depending on your use case. If you buy a reserved instance capacity for certain availability zone/region you don't need to do anything special to apply the discount. When bill is generated your discount is automatically applied to the matching instances in that availability zone/region.

3. Using Spot Instances whenever you can

For short term usage or doing some low priority computation, you should always go for Spot Instances. Spot instance are generally available at a very low cost and can reduce your spends by 90% compared to the same On Demand instance type. The only drawback with Spot Instances is that they tend to terminate on their own when the price exceeds the bid. If you still want to take advantage of spot prices but face the issue of frequent instance terminations, then you can go for Spot Fleet or Spot Instance with Duration. In a Spot Fleet instance, you can choose among different availability zones and set multiple bids. AWS makes sure that it launches the cheapest available instance out of the multiple bids in the Spot Fleet. Another option is using a spot instance with duration. So, while launching a spot instance, a duration has to be mentioned (1-to-6 hours) and it will not terminate till that duration is over.

4. Monitoring

Amazon CloudWatch is a tool for monitoring your AWS services. You can use CloudWatch to collect and track metrics, monitor log files, set alarms, and automatically react to changes in your AWS resources. Amazon CloudWatch can also be used to gain system-wide visibility into resource utilisation, application performance, and operational health. AWS also provides a set of tools which can help in reducing cost. Tools like Cost Explorer, Budgets, Billing and Cost Management console can be used on a regular basis using to explore spends, billing and cost trends. There is also a Cost Optimization Monitor solution dashboard, which uses managed services to visualise detailed billing reports.